

ICE's \$1.5B Detention Buy Shows Government Is Paying for Speed, Not Value

DHS pays 50% premium over warehouse strategy for turnkey facilities, revealing a capital allocation shift with steep exit risk.

Inside the \$1.5 billion deal

\$1.5 billion

Key figure

\$739.2 million

Acquisition price

\$1 billion

Transaction value

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The most important number in ICE's \$1.5 billion purchase of two California detention centers is not the \$739.2 million price tag on Otay Mesa. It is the 50% premium the government is paying over its earlier warehouse strategy. DHS spent roughly \$1 billion buying 11 warehouses across the country in early 2026. Now it is spending 50% more for just two purpose-built facilities from CoreCivic. That is not a real estate decision.

The Department of Homeland Security purchased the 2,560-bed California City Detention

It is a timeline decision. The government is signaling that speed of deployment matters more than basis. And for anyone watching how the federal government allocates capital to real estate, that distinction carries consequences. The Department of Homeland Security purchased the 2,560-bed California City Detention Facility and the 1,994-bed Otay Mesa Detention Center for a combined \$1.47 billion, according to a CoreCivic release.

The funding comes from \$45 billion allocated to ICE under the One Big Beautiful Bill

The private prison operator will continue to manage both facilities under an existing ICE contract. The funding comes from \$45 billion allocated to ICE under the One Big Beautiful Bill Act, signed last year, to expand detention capacity as part of President Donald Trump's deportation campaign. The total infrastructure effort is budgeted at \$38.3 billion. CoreCivic is in discussions with ICE about additional transactions, according to the release.

This is not a market-rate transaction

A DHS memo from February indicates the agency plans to purchase 10 turnkey facilities that ICE already uses for immigrant detention. This is not a market-rate transaction. It is a government procurement that happens to involve real estate. The buyer is not optimizing for cap rate or IRR. It is optimizing for operational readiness. That changes the pricing dynamic entirely.

CoreCivic is the immediate beneficiary

Private sellers of specialized government-leased assets just received a powerful pricing signal: the federal government will pay a premium for assets that reduce execution risk. CoreCivic is the immediate beneficiary. The company monetized two facilities at a valuation that no private buyer would match, while retaining the management contract. That is a capital markets outcome most real estate owners can only envy. But the story does not end with the sale.

One facility in Flowery Branch, Georgia, was purchased for \$68 million after being

DHS also plans to offload some of the warehouses it purchased earlier, some of which are not meeting federal standards. An analysis by Project Salt Box found that warehouses were bought at an average 134% markup over assessed value. One facility in Flowery Branch, Georgia, was purchased for \$68 million after being valued at just \$400,000. ICE now has approximately \$293 million worth of warehouses listed for sale.

The government is not just buying real estate

At least two projects, in Maryland and Arizona, have been paused amid court challenges. The government is not just buying real estate. It is cycling through a portfolio strategy in real time, buying high, selling at a loss, and shifting to a different asset class. That is not a sign of disciplined capital allocation. It is a sign of policy urgency overriding financial prudence.

The warehouse disposition pipeline suggests

For private capital markets participants, the signal is mixed. On one hand, the government's willingness to pay above-market prices for specialized facilities creates a floor for assets with federal tenant credit. On the other hand, the warehouse disposition pipeline suggests that the government's buying spree created a valuation bubble that is now deflating. The real question is what happens when the policy cycle turns. Purpose-built detention facilities have limited alternative uses.

CoreCivic understood that risk and sold into the demand

If deportation targets shift or funding priorities change, these assets will not trade easily. The government will hold a portfolio of single-use real estate with no private market bid. CoreCivic understood that risk and sold into the demand. The government accepted that risk in exchange for speed. That is the trade at the center of this transaction. The deal is not proof that government real estate spending is efficient.

And the market should watch what happens when the afterthought becomes a balance sheet problem

It is proof that when policy demands speed, basis becomes an afterthought. And the market should watch what happens when the afterthought becomes a balance sheet problem.

Why it matters

On the other hand, the warehouse disposition pipeline suggests that the government's buying spree created a valuation bubble that is now deflating.

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